FINANCIAL ACCOUNTING AND REPORTING

Suggested Answers
July-August 2022

Answer to the Question# 1(a):

Revenue:	Tk.
Sale of goods (Note)	1,350,000
Sale of services (Note)	25,000
Total	1,375,000

Note:	Tk.
After sale support (120,000/(100%-20%))	150,000
Remainder = sale of good (balancing figure)	1,350,000
Total Revenue	1,500,000

Revenue for sale of services recognized in the four months to 30 April 2021 should be Tk. 150,000 / 2 years x 4/12 = Tk. 25,000

Answer to the Question# 1(b):

Material	Tk. 10,000 / 10,000	1.0	
Labour	Tk. 20,000 / 10,000	2.0	
Overheads*	Tk. 50,000 / (10,000/50%)	2.5	
		5.5	
Inventory value for 1,000 units		Tk. 5.5 x 1,000	Tk. 5,500

* based on normal production capacity (IAS 2 paragraph 13)

Answer to the Question# 2(a):

Land		**Building**	
Land cost	Tk. 50,000	Cash payments contractor	Tk. 100,000
Razing cost	20,000	Sales tax on materials	3,000
Salvage proceeds	(5,000)	Power bill	2,000
Total land cost	Tk. 65,000	Capitalized interest	3,000
		Total building cost	Tk. 108,000

Answer to the Question# 2(b):

Recorded value of tractor = Tk. 10,000 + Tk. 2,000 (PVA, 2%, 20)
= Tk. 10,000 + Tk. 2,000(16.35143)
= Tk. 42,703

Interest expense after one month = (Tk. 42,703 – Tk.10,000) (1/12).24
= Tk. 654

Answer to the Question# 2(c):

i. AAE = Tk. 300,000 + Tk. 200,000/2 = Tk. 400,000

ii. Actual interest = .10(Tk. 700,000) + .12(Tk.200,000) =Tk.94,000
IPC = .12(Tk.200,000) + .10(Tk.600.000-Tk.200,000
= Tk.64,000
Capitalized interest = Tk. 64,000

iii. Weighted-average interest rate on all interest-bearing debt

$$= \frac{\text{Tk.}94{,}000}{\text{Tk.}900{,}000} = .10444$$

PIC = .10444(Tk. 600,000)
= Tk. 62.667

Therefore: Capitalized interest = Tk. 62,667

Answer to the Question# 2(d):

The implied market value of new equipment = Tk. 160,000 – Tk.30,000 = Tk. 130,000.
Gain on exchange = Tk. 160,000 – (Tk.200,000 – Tk. 80,00) = Tk. 40,000. Because cash is received the amount of the gain recognized is:

(Tk. 30,000/Tk.60,000) Tk.40,000
= Tk. 7,500

Therefore, the entry recorded is the following:

Equipment	97,500*	
Accumulated depreciation	80,000	
Cash	30,000	
Equipment		200,000
Gain		7,500

*Tk. 130,000 – (Tk. 40,000 – Tk. 7,500)

Answer to the Question# 2(e):

Loss	15,000	
Accumulated depreciation Tk. 20,0004	5,000	
Equipment		20,000
Equipment	30,000	200,000
Gain		30,000

*Tk. 130,000 – (Tk. 40,000 – Tk. 7,500)

Answer to the Question# 3:

ALMA CORPORATION
STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2021
Assets

Non-current assets			
Long-term investments			
Investments in land		Tk. 185,000	
Cash restricted for plant expansion		300,000	Tk. 485,000
Property, plant, and equipment			
Plant and equipment (Pledged as collateral for bonds) (Tk. 4,130,000 + Tk.1,430,000) ...	5,650,000		
Less accumulated depreciation	1,430,000	4,130,000	
Land		564,700	4,694,700
Intangible assets			
Goodwill		252,000	
Current assets			
Prepaid expenses		62,400	
Inventories		645,100	
Notes receivable		162,300	
Accounts receivable (Tk. 480,000+Tk.30,000)	510,000		
Less allowance for doubtful accounts	30,000	480,000	
Cash (Tk. 671,000 – 300,000)		271,000	
Total current assets		1,620,800	
Total assets			Tk. 7,052,500

Equity and Liabilities

Equity

Share capital – ordinary, par value Tk. 10 per share: authorized 200,00 shares, 184,000 shares issued and outstanding	Tk.1,840,000		
Share premium – ordinary	150000	Tk.1,990,000	
Retained earnings.....		2,545,600	
Total equity			Tk.4,535,600
Non-current liabilities			
Notes payable (due 2018)	157,400		
8% bonds payable (secured by plant by plant and equipment)	750,000	907,400	
Current liabilities:			
Accounts payable	510,000		
Unearned revenue	489,500		
Dividends payable	200,000		
Accrued wages payable....	225,000		
Estimated income taxes Payable.....	145,000		
Accrued interest payable (Tk. 750,000×8%×8/12)	40,000		
Total current liabilities		1,609,500	
Total liabilities		2,516,900	
Total equity and liabilities			Tk.7,052,500

Retained earnings	Tk. 2,810,600
Accrued wages omitted	(225,000)
Accrued interest	(40,000)
	Tk. 2,545,600

Additional comments:

- The information related to the competitor should be disclosed because this innovation may have a significant effect on the company. The value of the inventory is overstated because of the need to reduce selling prices. This factor along with the net realizable value of the inventory should be disclosed.
- The pledged assets should be described in the statement of financial position as indicated or in a footnote.
- The error in calculating inventory will have been offset, so no adjustment is needed.
- Accrued wages is included as a liability and retained earnings is reduced.
- The fact that the gain on sale of certain plant assets was credited directly to retained earnings has no effect on the statement of financial position presentation.
- Technically, the plant and equipment account should be separately disclosed, and depreciation computed on each item individually. However, the information to divide the accounts was not given in this problem.
- Accrued interest on the bonds (Tk. 750,000 × 8% × 8/12 = Tk. 40,000) was never recoded. This amount will also reduce retained earnings.
- Since the loss from heavy damage was caused by a fire after the financial statement date, this event does not reflect conditions existing at that date. Thus, adjustment of the financial statements is not necessary. However, the loss should be disclosed in a note, especially since users of the financial statements who may have read about the fire in the newspaper, would likely be looking for disclosure of the financial implications.

Answer to the Question# 4:

Date	Particulars	DEBIT (AMT in BDT)	CREDIT (AMT in BDT)
15 July 2019	LC Margin Account Bank Account [being the amount transferred to LC margin account ($10,000,000 x 10% @ BDT 82]	82,000,000	 82,000,000
15 July 2019	Advance to WARTSILA – Electric Generation Plant Bank Account [being the LC commission paid to the Bank which is adjustable with payment to WARTSILA] ($10,000,000 x 0.125%X2 qtr of FY 2019 @ BDT 82] of USD 25,000.00	2,050,000	 2,050,000
16 April 2020	Advance to WARTSILA -Electric Generation Plant Insurance premium payable [being the insurance cover note has been issued by the insurance company and amount is adjustable with payment to WARTSILA] of USD 65,868.26	5,500,000	 5,500,000
16 April 2020	Insurance premium payable Bank Account [being the payment made against insurance cover note]	5,500,000	 5,500,000
23 May 2020	Advance to WARTSILA – Electric Generation Plant (Custom Duty BDT 33,000,000, VAT on C&F Fees BDT 270,000 & Other Charges BDT 230,000) AIT Bank Account [being the customs duty, AIT, VAT and other charges have been paid by EGCB where AIT is recoverable but VAT is not] of USD 403,614.46	33,500,000 1,500,000	 35,000,000
23 May 2020	Advance to WARTSILA -Electric Generation Plant Bank Account [being the delay demurrage charged by the port authority which is adjustable with WARTSILA but payment made by EGCB] of USD 42,168.6747	3,500,000	 3,500,000
29 May 2020	Insurance receivable Payable to WARTSILA – Electric Generation Plant [being the insurance claim has been raised for slipped of tool box in river which could not recovered and same has to be paid to WARTSILA] of USD 30,120.48	2,500,000	 2,500,000
2 June 2020	Advance to WARTSILA -Electric Generation Plant Payable to SICHO [being the unloading cost charged by SICHO] of USD 29,850.75	2,500,000	 2,500,000
9 June 2020	Payable to SICHO Bank Account [being the amount paid to SICHO]	2,500,000	 2,500,000
10 June 2020	Bank Account Insurance Receivable {being the amount received]	2,500,000	 2,500,000
1 Sept 2020	Advance to WARTSILA - Electric Generation Plant Bank Account AIT (assumed 10%) VAT Current Account (assumed VAT 5%) [Being the net amount paid to Security Service provider and adjustable with WARTSILA, however AIT & VAT is not adjustable as ultimate service recipient is WARTSILA] of USD 16,071.43	1,350,000	 1,147,500 135,000 67,500
15 Sept 2020	Electric Generation Plant Payable to WARTSILA - Electric Generation Plant	787,500,000	 787,500,000

	[being the Electric Generation Plant is tested and certified ($500X18,750 @ 83.75]		
15 Sept 2020	Advance to WARTSILA - Electric Generation Plant Bank Account [being the LC commission paid to the Bank which is adjustable with payment to WARTSILA] (820,000,000 x 0.125%X3 qtr of FY 2020 -Jan 20 to Sept 20] of USD 36,607.14	3,075,000	 3,075,000
18 Sept 2020	Payable to WARTSILA - Electric Generation Plant FOREX Gain Advance to WARTSILA - Electric Generation Plant Bank Account [Being the balance amount paid in USD 8.78593976m after variation of USD 1.21406024m (refer note below) @ BDT 84	790,000,000	 506,060 51,475,000 738,018,940
30 June 2021	Depreciation Expenses Accumulated Depreciation [Being the depreciation charged over 20 yrs for 9.5 month assuming 10 salvage value as assets were ready to use]	28,054,687.5	 28,054,687.5
30 June 2021	Profit & Loss Account Depreciation Expenses [being depreciation expenses closing entries]	28,054,687.5	 28,054,687.5
NOTES			
05 July 2019	EGCS issued PO for 20000 KW.	No changes in Financial Position of EGCB	
15 July 2019	LC commission paid to the Bank	Commission charged quarterly and day impact ignored	
10 July 2019	WARTSILA commenced manufacturing of equipment for 20000 KW.	WARTSILA business activity does not change financial position of EGCB	
31 March 2020	WARTSILA completed manufacturing of 20000 KW plant		
1st April 2020	WARTSILA signed a contract with DHL to carry the plant to Bangladesh for $700,000 and deliver it to the charfassion site of EGCB. WARTSILA made a payment of $100,000 in advance		
15 April 2020	DHL picked up the plant from the WARTSILA facility	DHL business activity does not change financial position of EGCB	
22 April 2020	The vessel carrying said equipment sailed	Vessel (Carrier) business activity does not change financial position of EGCB	
22 May 2020	The custom document was handed over to the EGCB C&F agent	No changes in Financial Position of EGCB	
1 June 2020	3 days delay in the unloading of the plant at charfassion and the cargo vessel will charge an extra BDT 1,000,000 per day	WARTSILA is to bear it.	
15 Sep 2020	Plant installation completed	Its Turnkey Project and project isn't handed over after testing, therefore no impact to EGCB books of accounts	
15 September 2020	EGCB has applied for LC variation amounting to USD 1.21406024m against (i) shortage of 1250 KW valued USD 0.625m,(ii) Advanced to Wartsila (made time to time on behalf of WARTSILA) equivalent to USD 0.619180715m & (iii) Payable to WARTSILA USD 0.03012048m for insurance claim	No Financial impact for 1250KW in books of accounts of EGCB as EGCB only recoginse liability of assets for 18750KW	
17 September 2020	WARTSILA confirmed variation of contact by USD 1.21406024m on 17 Sept 2020	-D0-	
1 December 2020	WARTSILA sent tool box through DHL under door to Door delivery	No financial impact to EGCB as it is under turnkey project	
1st January 2022;	The plant was fully operationalized	Info	

Answer to the Question# 5:

Computation of deferred tax liability/ asset as on 31 December 2021:

	Ref	Carrying value (BDT)	Tax base	Temporary difference	Tax rate	DT L/(A) BDT in million
		----------BDT in million----------				
Advertising cost	(i)	-	12	(12)	30%	(3.60)
Trade & other payable						
Unearned commission	(ii)	(10.00)	(10.00)	-	30%	-
Other	(ii)	(30.00)	(25.00)	(5.00)	30%	(1.50)
Other receivable						
Dividend receivable	(iii)	8.00	8.00	-	20%	-
Other	(iii)	9.00	6.00	3.00	30%	0.90
Interest receivable (40 m x 10% x 9/12)	(iv)	3.00	-	3.00	10%	0.30
Machine (Right of use)*	(v)	48.82				
Lease liability**	(v)	(48.60)				
Interest accrued	(v)	(4.86)				
		(4.64)	-	(4.64)	30%	(1.39)
Plant	(vi)	234.59	225.00	9.59	30%	2.88
Provisioning for decommissioning (PV)	vi)	(34.03)	-	(34.03)	30%	(10.21)
	vi)	250	177.15	72.85	30%	21.86
Deferred tax liability - net						**9.24**

* BDT 28 discounted at 4 year annuity due less depreciation for two years
**BDT 28 discounted at 2 year annuity due

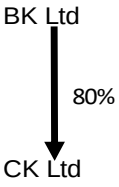
Answer to the Question# 6(a):

Consolidated statement of financial position as at 31 December 2021

	Tk.	Tk.
ASSETS		
Non-current assets		
Property, plan and equipment (80,000 + 58,200)		138,200
Intangibles (note 3)		14,600
		152,800
Current assets		
Inventories (18,000 + 12,000 - 800 PURP (note 2))	29,200	
Trade and other receivables (62,700 + 21,100)	83,800	
Investments	2,500	
Cash and cash equivalents (10,000 + 3,000 + 500)	13,500	
		129,000
Total assets		281,800
EQUITY AND LIABILITIES		
Equity attributable to owners of the parent		
Ordinary share capital		120,000
Share premium		18,000
Revaluation surplus		23,000
Retained earnings (note 5)		57,160
		218,160
Non-controlling interest (note 4)		17,640
Total equity		235,800
Current liabilities		
Trade and other payables (35,000 +11,000)		46,000
Total equity and liabilities		281,800

Working notes

Note 1: Group structure



Note 2: Net assets of CK Ltd

	Year end		Acquisition date	Post-acquisition
	Tk.	Tk.	Tk.	Tk.
Share capital		60,000	60,000	-
Revaluation surplus		16,000	16,000	-
Retained earnings				
as per question	13,000			
Less: PURP (4,000 X 25/125)	(800)			
		12,200	8,000	4,200
		88,200	84,000	

Note 3: Goodwill

	Tk.
Consideration transferred	84,000
Non-controlling interest at acquisition (84,000 x 20% (note 2))	16,800
	100,800
Less: Net assets at acquisition (note 2)	(84,000)
	16,800
Impairment to date (500 + 1700)	(2,200)
Balance carried forward	14,600

Note 4: Non-controlling interest at year end

	Tk.
CK Ltd - NCI at acquisition (20% x 84,000 (note 2))	16,800
Share of post-acquisition reserve (20% x 4,200 (note 2))	840
	17,640

Note 5: Retained earnings

	Tk.
BK Ltd	56,000
CK Ltd (80% x 4,200 (note 2))	3,360
Less: Goodwill impairment to date (note 3)	(2,200)
	57,160

Answer to the Question# 6(b):

Adjustment
When group companies have been trading with each other two separate adjustments may be required in the consolidated statement of financial position.

(i) Elimination of unrealized profit

If one company holds inventories at the year end which have been acquired from another group company, this may include a profit element that is unrealized from a group perspective.

Here CK Ltd has sold goods to BK Ltd at cost plus 25%. The mark-up of 25% will only become realized when the goods are sold to thrid party. Therefore, if any intra-group inventory is still held at the year end, the profit thereon should be eliminated from the consolidated accounts.

This will require an adjustment of Tk. 800 (4,000 x 25/125) which is always made against the selling company's retained earnings i.e.,

	DR Tk.	CR Tk.
CK Ltd's retained earnings (note 2)	800	
Consolidated inventory		800

As well as eliminating the unrealized profit, this reduces inventory back to its original cost to the group.

(ii) Elimination intra-group balances

As group companies are effectivelytreated as one entity, any intra-group balances must be eliminated on consolidation. Here, intra-group current account have arisen as a result of the intra-group trading and there must be cancelled out. Before this can be donethe current accounts must be brought into agreement by adjusting the accounts of the 'receiving' company (here CK Ltd) for the cheque-in-transit, i.e.,

	DR Tk.	CR Tk.
Cash	500	
Current account		500

This will reduce the current account receivable to Tk. 2,700, which means that it now agrees with the payable balance shown in the accounts of BK Ltd.

	DR Tk.	CR Tk.
Current account in BK Ltd	2,700	
Current account in CK Ltd.		2,700

---The End---